BLESSED GEBREMICHEAL CATHOILC SECONDARY SCHOOL

Final exam for grade 10 students

Exam name: - Economics
Max weight: - 40%

Time allowed: - 1:05 hours
Exam date: -

Part I: - choose the best one among the alternatives (1.5 marks each)

B 1. Average product is maximum when: AP = MP
   A. TP maximum
   B. MP=AP
   C. MP is zero
   D. MP become negative

B 2. When marginal product becomes **negative**, total product will: MP < 0 → ΔTP
   A. Increase
   B. Decrease
   C. Remain constant
   D. Unknown

A 3. Which of the following is correct at **Stage I** in short run production function?
   A. The fixed resource is underutilized
   B. The fixed resource is exhaustively used
   C. The variable resource is underutilized
   D. It's the best place to produce as a rational producer

A 4. When MC is above AC: MC > AC
   A. AC rises
   B. AC falls
   C. AC is constant
   D. TC is zero

C 5. An individual seller under a perfectly competitive market:
   A. Is a price maker ✗
   B. Have downward sloping demand curve ✗
   C. Is a price taker
   D. All are possible

C 6. Which factor of production is fixed in the short run?
   A. Labor
   B. Raw materials
   C. Capital equipment
   D. Entrepreneurship

C 7. The demand curve of a monopolist is:
   A. Horizontal
   B. Vertical
   C. Downward sloping
   D. Perfectly elastic

C 8. Product differentiation is a key feature of:
   A. Perfect competition
   B. Monopoly
   C. Monopolistic competition
   D. Monopsonic

D B 9. Interdependence among firms exists in:
   A. Monopoly
   B. Perfect competition
   C. Monopolistic competition
   D. Oligopoly

B 10. Identify the wrong statement among the following.
   A. When $AP_L > MP_L$, AP_L is declining MP < AP
   B. When $AP_L > MP_L$, AP_L is rising MP < AP
   C. When $AP_L = MP_L$, AP_L reach maximum
   D. None of the above

C 11. _____ is a place where sellers and buyers are meets together.
   A. Production
   B. Cost
   C. Market
   D. Output

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C 12. Among the following, which one is a slope of TP?
A. AP B. MR C. MP D. MC

Part II: - Matching (1.5 marks each)

A		B
1. Variable Cost	E	A. Differentiated products
2. Fixed cost	D	B. Identical products
3. Marginal cost	C	C. Cost per additional unit
4. Perfect Competition	B	D. Cost that do not change as output change
5. Monopolistic competition	A	E. Cost that varies as output vary

Part III: - say 'True' if the statement is correct and say 'False' if the statement is wrong (1.5 mark)

1. Marginal cost intersects AVC at its minimum point. True
2. The gap between TC and TVC become narrower as production is rising. false
3. Price discrimination is possible under monopoly. True
4. At stage one, each additional unit of a variable input contributes larger than the average. True
5. When output=zero (0), TFC will also zero (0). false
6. Oligopoly firms ignore rivals' reactions. false

Part IV: - fill in the blank (1.5 marks each)

1. Production is a process in which firms utilizes/ convert factor input into output.
2. Implicit is an estimate cost of self-owned input.
3. Cost any monetary outlay a firm spent to purchase factor inputs.
4. Purely oligopoly a market structure that can be characterized by complete rivalry among individual firms.

Answer key

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part I:- multiple choice item

1	2	3	4	5	6	7	8	9	10	11	12
B	B	A	A	C	C	C	D	B	C	C	C

Part II: - matching item

1	2	3	4	5
E	D	C	B	A

Part III: - True/False item

1	2	3	4	5	
True	false	True	True	false	false

Part IV: - fill in the blank

1. production
2. Implicit
3. Cost
4. Oligopoly